

20% CAGR while valuations are on the higher side, typically a recipe for either a longer time correction or selectively price correction as well.”

Padiyar also advises investors to look at diversified funds rather than sectoral, thematic or market cap ones.

Siddharth Bharmre, Research Head of Asit C Mehta, says mid-cap valuations are elevated while returns have been strong, but investors need to be highly selective. “Now there are some mid-caps that would probably justify higher valuation because people will say the growth rate is also high. But you will have to pick and choose. You cannot paint the entire basket in same stroke.”

Yet, the market isn't expecting a crash. Since large-caps are not highly overvalued and are resilient, the floor for broader market corrections remains strong unless large-cap heavyweights begin to falter, which is unlikely in the short term, adds Bharmre.

The latest data confirms the trend. Current valuations in the mid and small cap space stands at 35.27 and 33.87, which is overvalued compared to 22.75 and 19.63, respectively, in 2022. Similarly, large-caps too are bit overvalued with a price-to-earnings ratio of 22.82 compared to 19.54 in 2022.

At this time, across the board, institutional voices are preaching selective optimism. BFSI (banking, financial services & insurance) is a favourite among multiple fund managers, including George Thomas, Equity Fund Manager, Quantum MF.

“Though private banks could see margin pressures in the near term, markets have factored the changed environment, and companies have initiated steps to restore margins,” says Thomas. Consumer



“Enhanced sentiment in both global and domestic markets, and steady inflows from foreign and domestic investors have sparked the rebound”

VIPUL BHOWAR
SENIOR DIRECTOR,
HEAD OF EQUITIES,
WATERFIELD ADVISORS



“The mid- and small-cap space has been rich with new themes and growth opportunities that are missing from Sensex or Nifty stocks”

G CHOKKALINGAM
FOUNDER AND MD,
EQUINOMICS RESEARCH

discretionary is another space with tailwinds from potential rate cuts and higher disposable incomes, thanks to income tax rebates and cooling inflation, he adds.

The latest data from ACE Equity bears this out. When we talk about the returns of BSE Small caps in the past 3 years, it stands at 122% and for mid-caps at 114%, whereas BSE large-caps delivered a 61% return.

Chokkalingam of Equinomics Research is positive on the small- and mid-cap segment. He says, “The segment would continue to do well in FY26 and is likely to outperform Sensex and Nifty by a significant margin. A vast universe of this segment offers huge opportunities in terms of growth, deep values and acquisitions or consolidation possibilities.”

Retail investors should, however, keep an eye on quality of management and balance sheets, durability of business models and valuation comfort before investing in SMC stocks.

Experts foresee the rally continuing but with a divergence, so they recommend bottom-up stock selection. They also advise investors to watch Q1FY26 guidance, which could signal whether mid-caps can maintain their earnings momentum. Apart from this, investors should monitor geopolitical tensions and the monsoon's progress.

Experts say India's mid and small-cap rally is real, earnings-backed, and reflective of changing market dynamics. However, the days of blind indexing are likely over.

With valuations stretched and growth divergence expected, investors will need to dig deeper to identify the next winners. **BT**

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